GALIFORM CORPORATE SERVICES LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 26 DECEMBER 2009

REGISTERED NUMBER: 1767386

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GALIFORM CORPORATE SERVICES LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their annual report and the audited financial statements of the Company for the 52 weeks to 26 December 2009 (*2008 52 weeks to 27 December 2008)*

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The Company is a wholly owned subsidiary of Galiform Plc The company's principal activities are providing various corporate and Information Technology services to other member companies of the Galiform Plc Group ("the Group") The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year

The loss for the financial period as shown in the profit and loss account amounted to a loss of £1,740,000 *(2008 loss of £18,978,000)* The directors recommend that no dividend be paid *(2008 nil)* The directors are satisfied with the progress of the business

The balance sheet shows the Company's financial position at the end of the period Details of amounts owed to the parent company are shown in note 11

The Group manages its operations on a Group basis For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business The performance of the Group, which includes this Company, is discussed in the Group's Annual Report which is available at http //www galiform com/ and which does not form part of this Report

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the group's activities The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report

FINANCE RISKS AND OTHER PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by an interest-free loan from its ultimate parent company The Company has no third-party debt, and therefore no interest rate exposure As such, the Company's financial risk management objectives and policies are those of the Galiform Plc Group, which are contained in the Group's Annual Report, which does not form part of this Report

The Company has no other significant risks and uncertainties, other than those risks that it shares with the Galiform Plc Group, given that the Company's principal activities are providing various services to other Galiform Plc Group companies The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report

GOING CONCERN

After making enquiries and taking into consideration the profitability and financial position of the company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future based on a written commitment of financial support from its ultimate parent company, Galiform Plc, which is legally binding For this reason the directors continue to adopt the going concern basis in preparing the financial statements

EMPLOYEES

Details of the number of employees and related costs can be found in note 4 to the financial statements

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned In the event of members of staff becoming disabled every effort is made to ensure that their employment with the Company continues and that appropriate training is arranged It is the policy of the Company that the training, career development, and promotion of disabled persons should, as far as possible, be identical with that of other employees

The Company participates in the Group's policies and practices to keep employees informed on matters relevant to them as employees through regular meetings Employee representatives are consulted regularly on a wide range of matters affecting their interests

DIRECTORS

The directors of the Company who served throughout the period, except as noted were

M Ingle
J McManus
M Robson

SUPPLIER PAYMENT POLICY

It is the Company's policy, in relation to all its suppliers, to settle its terms of payment when agreeing the terms of the transaction and to abide by those terms provided that it is satisfied that the supplier has provided the goods or services in accordance with agreed terms and conditions The Company does not follow any code or standard on payment practice, but it is the Company's policy to pay all its suppliers within 30 days of the end of the month in which it receives the invoice

The Company pays trade creditors on behalf of both itself and other group companies The number of days purchases outstanding for payment when taking into account the payments both for this company and for other group companies at the period end was 20 days *(2008 20 days)*

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company made charitable donations during the period to the value of £1,200 *(2008 £nil)* The company made no political donations during the current or previous period

AUDITORS

Each of the persons who is a director at the date of approval of this annual report confirms that

- so far as the director is aware, there is no relevant audit information of which the company's auditors are unaware,
- the director has taken all the steps he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the company's auditors aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006

Deloitte LLP have indicated their willingness to be reappointed for another term and appropriate arrangements have been put in place for them to be deemed reappointed as auditors in the absence of an Annual General Meeting

REGISTERED OFFICE

The Company's registered office is International House, First Floor, 66 Chiltern Street, London, W1U 4JT

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law, the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgments and estimates that are reasonable and prudent,
- state whether applicable accounting standards have been followed, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping adequate accounting records, which are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 2006 They are also responsible for safeguarding the assets of the company and hence for taking responsible steps for the prevention and detection of fraud and other irregularities

By Order of the Board

C Bishop
Secretary
27 April 2010

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF GALIFORM CORPORATE SERVICES LTD

We have audited the financial statements of Galiform Corporate Services Ltd for the 52 weeks ended 26 December 2009 which comprise the Profit and Loss Account, the Balance Sheet and the related notes 1 to 20 The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice)

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006 Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed

Respective responsibilities of directors and auditors

As explained more fully in the Directors' Responsibilities Statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view Our responsibility is to audit the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland) Those standards require us to comply with the Auditing Practices Board's (APB's) Ethical Standards for Auditors

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error This includes an assessment of whether the accounting policies are appropriate to the Company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the directors, and the overall presentation of the financial statements

Opinion on financial statements

In our opinion the financial statements

- give a true and fair view of the state of the Company's affairs as at 26 December 2009 and of its loss for the 52 weeks then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006

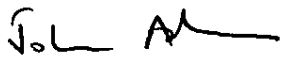
Opinion on other matters prescribed by the Companies Act 2006

In our opinion the information given in the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us, or
- the financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit



John Adam (Senior Statutory Auditor)
for and on behalf of Deloitte LLP
Chartered Accountants and Statutory Auditors
London, United Kingdom
27 April 2010

GALIFORM CORPORATE SERVICES LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 26 DECEMBER 2009

		52 weeks to 26 December 2009			52 Weeks to 27 December 2008		
	Notes	Before Exceptional Items £'000	Exceptional Items (note 3) £'000	Total 2009 £'000	Before Exceptional Items £'000	Exceptional Items (note 3) £'000	Total 2008 £'000
Turnover:							
Continuing operations	1	**28,957**	-	**28,957**	17,547	-	17,547
Selling and administrative costs (continuing)		**(33,458)**	-	**(33,458)**	(37,071)	-	(37,071)
Selling and administrative costs (discontinued)	3	-	**(1,200)**	**(1,200)**	-	(5,183)	(5,183)
Operating loss:							
Continuing operations		**(4,501)**	-	**(4,501)**	(19,524)	-	(19,524)
Discontinued operations	3	-	**(1,200)**	**(1,200)**	-	(5,183)	(5,183)
Profit/(loss) on disposal of fixed assets		**22**	-	**22**	(433)	-	(433)
Loss on ordinary activities before finance charges		**(4,479)**	**(1,200)**	**(5,679)**	(19,957)	(5,183)	(25,140)
Interest receivable and similar income	6	**11**	-	**11**	41	-	41
Interest payable and similar charges	6	**(74)**	-	**(74)**	(130)	-	(130)
Loss on ordinary activities before taxation		**(4,542)**	**(1,200)**	**(5,742)**	(20,046)	(5,183)	(25,229)
Tax credit on loss on ordinary activities	7	**3,666**	**336**	**4,002**	4,796	1,455	6,251
Loss for the financial period		**(876)**	**(864)**	**(1,740)**	(15,250)	(3,728)	(18,978)

There are no recognised gains or losses in the current or preceding financial periods other than as stated in the profit and loss account and therefore no statement of recognised gains and losses has been presented

GALIFORM CORPORATE SERVICES LIMITED
BALANCE SHEET AT 26 DECEMBER 2009

	Notes	26 December 2009 £000	26 December 2009 £000	27 December 2008 £000	27 December 2008 £000
Fixed assets					
Tangible assets	8		**10,044**		12,180
Investments	9		**48,451**		48,476
			58,495		60,656
Current assets					
Debtors	10	**489,728**		425,519	
Cash at bank and in hand		**16**		45	
		489,744		425,564	
Creditors : amounts falling due within one year					
Creditors	11	**(555,447)**		(769,373)	
Net current liabilities			**(65,703)**		(343,809)
Total assets less current liabilities			**(7,208)**		(283,153)
Creditors : amounts falling due after more than one year					
Creditors	11		-		(949)
Provisions for liabilities and charges	12		**(21,795)**		(23,416)
Net liabilities			**(29,003)**		(307,518)
Capital and reserves					
Share capital	14		**12,358**		12,358
Profit and loss account	15		**(335,807)**		(334,067)
Capital contribution reserve	15		**280,315**		-
Shared based payments	15		**14,131**		14,191
Shareholders' deficit			**(29,003)**		(307,518)

Approved by the Board of Directors and signed on their behalf by

Mark Robson
Director
27 April 2010

GALIFORM CORPORATE SERVICES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE 52 WEEKS ENDED 26 DECEMBER 2009

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and the preceding periods

BASIS OF PREPARATION

The financial statements have been prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards

The financial statements have also been prepared on a going concern basis as discussed in the Directors' report on page 1

Under Financial Reporting Standard 1 (revised 1996), the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc

The financial statements include the results for the 52 week period ended 26 December 2009 *(2008 52 weeks to 27 December)*, being the Saturday nearest to the Company's accounting reference date of 31 December

TURNOVER

Turnover represents the gross recharges to other Group companies Revenue is recognised on the provision of qualifying services

TANGIBLE FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation or provision for impairment Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows

Plant and machinery, fixtures and fittings	10% - 25% p a
Motor vehicles	20% - 25% p a
Leasehold properties	Over life of lease

Assets under the course of construction are not depreciated until such time as the asset is available for use

INVESTMENTS

Investments represent shares in the ultimate parent which are shares held by employee share ownership trusts, and are recorded at cost, including expenses, less amounts written off Amounts written off these shares are calculated so as to charge the cost of the shares to profit and loss over the vesting period of the underlying share options or awards

TAXATION

UK Corporation tax is provided at amounts expected to be paid or recovered, using tax rules and laws that have been enacted or substantively enacted by the balance sheet date

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date Except where otherwise required by Accounting Standards no timing differences are recognised in respect of

(a) property revaluation surpluses where there is no commitment to sell the asset,
(b) gains on sale of assets where those assets have been rolled over into replacement assets, and
(c) additional tax which would arise if profits of overseas subsidiaries were distributed, and deferred tax assets to the extent that they are regarded as not likely to be recovered

1 ACCOUNTING POLICIES (Cont'd)

FOREIGN CURRENCY

Transactions denominated in foreign currencies are translated into sterling and recorded at the rate of exchange ruling at the date of the transaction

Monetary assets and liabilities denominated in foreign currencies are translated into sterling at rates ruling at the balance sheet date Foreign exchange profits and losses arising during the period are included in loss on ordinary activities before taxation

LEASED ASSETS

Leases are classified as finance leases when the terms of the lease transfer substantially all the risks and rewards of ownership to the Group All other leases are classified as operating leases For property leases, the land and building elements are treated separately to determine the appropriate lease classification

Finance leases

Assets funded through finance leases are capitalised as property plant and equipment, and depreciated over their estimated useful lives or the lease term, whichever is shorter The amount capitalised is the lower of the fair value of the asset or the present value of the minimum lease payments during the lease term at the inception of the lease The resulting lease obligations are included in liabilities net of finance charges Finance costs on finance leases are charged directly to the income statement

Operating leases

Assets leased under operating leases are not recorded on the balance sheet Rental payments are charged directly to the income statement

Lease incentives

Lease incentives primarily include up-front cash payments or rent-free periods Lease incentives are capitalised and spread over the period of the lease term

Leases with predetermined fixed rental increases

The Group has a number of leases with predetermined fixed rental increases These rental increases are accounted for on a straight-line basis over the period of the lease term

PENSIONS

i) Defined benefit pension schemes

The Company participates in its parent company's (Galiform Plc) group retirement benefit scheme This is a defined benefit arrangement, operating through a multi-employer defined-benefit scheme The assets and liabilities of the scheme are held separately from those of the Galiform Group The company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it were a defined contribution scheme This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes

ii) Defined contribution pension schemes

The Galiform Group operates a defined contribution scheme for its employees For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet

SHARE-BASED PAYMENTS

FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Galiform Plc Equity-settled share-based payments are measured at fair value at the date of grant The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of shares that will eventually vest

1 ACCOUNTING POLICIES (cont'd)

SHARE-BASED PAYMENTS (cont'd)

Fair value is measured by use of a binomial model or a Black-Scholes model, according to the relative complexity of the type of share-based payment to be measured The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations

2. LOSS ON ORDINARY ACTIVITIES BEFORE TAXATION

Loss on ordinary activities before taxation is stated after charging

	26 Dec 2009 £000	27 Dec 2008 £000
Fees payable to the Company's auditors for the audit of the Company's annual accounts	**25**	25
Fees payable to the Company's auditors for tax services	**20**	20
Depreciation and other amounts written off fixed assets		
- owned assets	**2,386**	3,648
- finance leases	**1,040**	406
Hire of plant and machinery – operating lease rentals	**632**	714
Rent payable on property	**10,266**	10,270

3. EXCEPTIONAL ITEMS

Exceptional items charged to the income statement in the 52 week to 26 December 2009 are analysed as follows

Discontinued operations.	Other operating expenses £000
Increase in property provision for future rent payable on vacated sites	1,200
Total exceptional items before tax	**1,200**
Tax credit on exceptional item	(336)
Net exceptional items	**864**

Exceptional items charged to the income statement in the 52 week to 27 December 2008 are analysed as follows

Discontinued operations	Other operating expenses £000
Costs and obligations relating to vacated properties	3,165
Bad debts written off	2,012
Project Marlin (IT restructuring)	6
Total discontinued exceptional items before tax	**5,183**
Tax credit on discontinued operations	(1,455)
Net exceptional items in discontinued operations	**3,728**

4 STAFF NUMBERS AND COSTS

The average number of persons (excluding directors) employed by the Company during the period was

	26 Dec 2009	27 Dec 2008
	No.	No
Management and administration	32	38
	32	38

	26 Dec 2009	27 Dec 2008
The aggregate payroll costs of these persons were as follows	£000	£000
Wages and salaries	2,037	3,740
Social security costs	211	389
Other pension costs	10,744	11,723
Share-based payments	(60)	3,416
	12,932	19,268

5. REMUNERATION OF DIRECTORS

The emoluments of the directors were as follows

	26 Dec 2009 £000	27 Dec 2008 £000
Directors' emoluments	2,386	2,148
Pension costs	67	132
	2,453	2,280

The aggregate emoluments of the highest paid director in the 52 weeks to 26 December 2009 were £1,201,000 (*52 weeks to 27 December 2008 were £1,067,600)*

Based on normal retirement age the accrued pension of the highest paid director, should he leave employment at the end of the financial year, is £41,400 (*2008 £41,900)* The number of directors accruing benefits under the pension scheme is two *(2008 two)*

6. INTEREST PAYABLE AND RECEIVABLE

Interest payable	26 Dec 2009 £000	27 Dec 2008 £000
Other interest	(5)	(30)
Interest charge on finance lease payments	(69)	(100)
	(74)	(130)

Interest receivable	26 Dec 2009 £000	27 Dec 2008 £000
Bank interest	11	41
	11	41

7 TAX ON LOSS ON ORDINARY ACTIVITIES

	26 Dec 2009	27 Dec 2008
UK corporation tax	£000	£000
Current period	(2,090)	(8,669)
Adjustments relating to prior periods	(960)	588
Current tax credit	(3,050)	(8,081)
Deferred tax – current year	(911)	4,050
prior year	(41)	(2,220)
Tax credit on loss on ordinary activities	(4,002)	(6,251)

Factors affecting current period corporation tax

	2009	2008
The current year current taxation credit, as a percentage of loss on ordinary activities before exceptional items, is calculated at	(36.4%)	(34.4%)

The current period corporation tax credit for the period is lower *(2008 lower)* than the standard rate of corporation tax relief of 28% for the following reasons

	26 Dec 2009	27 Dec 2008
	£000	£000
Loss on ordinary activities before taxation for the period	(5,742)	(25,229)
Loss on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 28 0% *(2008 28 5%)*	(1,609)	(7,190)
Expenses not deductible for tax purposes	147	290
Capital allowances in excess of depreciation	(644)	(831)
Movement in short-term timing differences	194	(1,633)
Tax deductions on share option exercises	(210)	(50)
Amortisation of shares	38	869
Intercompany balances write off	-	(132)
(Loss)/profit on disposals fixed assets	(6)	9
Prior year adjustment	(960)	588
Current tax credit for the year	(3,050)	(8,081)

8 TANGIBLE FIXED ASSETS

	Leasehold Properties under 50 years £000	Plant and machinery £000	Fixtures and fittings £000	Assets in the course of construction £000	Total £000
Cost					
At 27 December 2008	8,493	79,157	4,772	24	92,446
Transfers	-	24	-	(24)	-
Transfers from other Group Companies	269	-	-	-	269
Additions	506	580	12	132	1,230
Disposals	(128)	(949)	-	-	(1,077)
At 26 December 2009	**9,140**	**78,812**	**4,784**	**132**	**92,868**
Depreciation					
At 27 December 2008	3,802	72,152	4,313	-	80,267
Charge for the period	477	2,707	242	-	3,426
Disposals	(29)	(840)	-	-	(869)
At 26 December 2009	**4,250**	**74,019**	**4,555**	**-**	**82,824**
Net book value					
At 26 December 2009	**4,890**	**4,793**	**229**	**132**	**10,044**
At 27 December 2008	4,691	7,006	459	24	12,180

Analysis of assets held under finance leases	**26 December 2009 Plant, machinery & vehicles £000**	27 December 2008 Plant, machinery & vehicles £000
Cost	**3,600**	3,600
Accumulated depreciation	**(1,446)**	(406)
Net book value	**2,154**	3,194

9 INVESTMENTS

Cost	**Investment in ESOT £000**
At 27 December 2008	67,218
Disposals	(25)
At 26 December 2009	**67,193**
Provisions	
At 27 December 2008	(18,742)
At 26 December 2009	**(18,742)**
Net book value	
At 27 December 2008	48,476
At 26 December 2009	**48,451**

9 INVESTMENTS (continued)

Employee Share Schemes

The Company maintains four employee share ownership trusts, which hold shares in Galiform Plc These are summarised as follows

	Shareholding (No of shares)	Value on 26 Dec 2009 £000	Dividends waived?
Galiform Employee Share Trust	28,398,567	21,569	Y
Galiform Employee Benefit Trust	190,000	144	Y
Galiform Free Share Trust	981,484	745	Some
Galiform Nominee Accounts	1,957,980	1,487	Y

As at 26 December 2009, 100% of the above shares were allocated to existing options awards *(2008 61%)* The trusts have been funded by the employing companies in the Group to acquire shares in Galiform Plc The cost of running these trusts is included in the profit and loss account The Trusts have undertaken the following activities

Galiform Employee Share Trust
- to transfer shares to executive directors when shares vest under the Galiform Performance Share Plan
- to transfer shares to employees on exercise of various options granted under (i) an unapproved share option scheme and (ii) the Galiform Performance Share Plan

Galiform Employee Benefit Trust
- to transfer shares to employees under the Galiform Group Profit Sharing Trust

Galiform Free Share Trust
- to transfer shares to employees when shares vest under the Galiform Freeshare Plan

Galiform Nominee Accounts
- holds shares for individual employees Shares are not owned by Galiform

10 DEBTORS

Amounts falling due within one year	**26 Dec 2009 £000**	27 Dec 2008 £000
Trade debtors	-	848
Amounts owed by parent and fellow subsidiary undertakings	**468,930**	398,671
Other debtors	**47**	221
Deferred tax asset (note 13)	**12,622**	11,670
Prepayments and accrued income	**4,769**	4,566
VAT	**1,271**	1,462
Corporation tax	**2,089**	8,081
	489,728	425,519

11. CREDITORS

Amounts falling due within one year:	**26 Dec 2009 £000**	27 Dec 2008 £000
Trade creditors	**463**	567
Amounts owed to parent and fellow subsidiary undertakings	**541,287**	753,226
Other taxes and social security	**418**	1,091
Current portion of amounts due under finance leases	**949**	1,225
Other creditors	**97**	-
Accruals	**12,233**	13,264
	555,447	769,373
Amounts falling due after more than one year:		
Non-current portion of amounts due under finance leases	-	949

12. PROVISIONS FOR LIABILITIES AND CHARGES

	Property Provision £000
At 27 December 2008	23,416
Utilisation	(8,240)
Additional provision	6,619
At 26 December 2009	**21,795**

The property provision mainly covers onerous leases For any such leases, the Company provides for any shortfall between rent payable and rent receivable on any non-trading leased properties The provision is based on the period until the end of the lease, or until the Company can cover the shortfall by subletting, assigning or surrendering the lease None of the provisions are short term The property provision also includes amounts for any related shortfalls in business rates on these properties, and for dilapidations

13. DEFERRED TAXATION

The deferred taxation asset comprises

	£000
At 27 December 2008	11,670
Charged during the period	911
Adjustments in respect of prior periods	41
At 26 December 2009	**12,622**

Analysis of deferred tax balances

	26 Dec 2009 £000	27 Dec 2008 £000
Short term timing differences	**8,605**	4,664
Accelerated capital allowances	**4,017**	7,006
Total	**12,622**	11,670

There are potential deferred tax assets in relation to trading tax losses totalling £8 7m (2008 £8 7m) that have not been recognised on the basis that their future economic benefit is uncertain All these losses may be carried forward indefinitely

14 AUTHORISED AND ISSUED SHARE CAPITAL

	26 Dec 2009 £000	27 Dec 2008 £000
12,500,000 authorised ordinary shares of £1 each	**12,500**	12,500
12,357,978 allotted issued and fully paid ordinary shares of £1 each	**12,358**	12,358

15. RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' DEFICIT

Movements during the period were as follows

	Share Capital	Profit and Loss Reserve	Capital Contribution Reserve	Share-based payment reserve	Shareholders' Deficit
	£'000	£'000	£'000	£'000	£'000
As at 27 December 2008	12,358	(334,067)	-	14,191	(307,518)
Loss for the period	-	(1,740)	-	-	(1,740)
Intercompany balances waived	-	-	280,315	-	280,315
Share based payments	-	-	-	(60)	(60)
As at 26 December 2009	**12,358**	**(335,807)**	**280,315**	**14,131**	**(29,003)**

15 RECONCILIATION OF MOVEMENTS IN SHAREHOLDERS' DEFICIT (continued)

During the year, intercompany loans payable by Galiform Corporate Services to its parent company, Galiform Plc, and a fellow subsidiary entity, were waived As the amounts represented funding balances, the gain has been treated as a capital contribution and credited to reserves The Capital Contribution Reserve is distributable

16. FINANCIAL COMMITMENTS

At 26 December 2009, the annual commitments under non-cancellable operating leases were as set out below

	26 Dec 2009		27 Dec 2008	
Operating leases which expire	Property £000	Plant and Machinery £000	Property £000	Plant and Machinery £000
Within one year	62	10	-	66
Between two and five years	1,581	78	750	59
Over five years	10,170	-	10,558	-
	11,813	88	11,338	125

17. FINANCE LEASES

	26 December 2009 £000	27 December 2008 £000
The finance lease obligations are repayable as follows		
Current liabilities		
Within one year	949	1,225
Non-current liabilities		
In the second year	-	949
In the third to fifth years inclusive	-	-
Total finance lease obligations	949	2,174

All finance lease obligations are in sterling They are at a fixed interest rate of 5 3 % *(2008 5 3%)* The finance lease obligations are unsecured, to be updated based on the facts The average remaining lease term is 9 months *(2008 1 year and 9 months)*

Reconciliation of total future minimum lease payments to their present value

	Minimum lease payments		Present value of minimum lease payments	
	26 Dec 2009 £000	27 Dec 2008 £000	26 Dec 2009 £000	27 Dec 2008 £000
Amounts payable under finance leases				
Within one year	979	1,289	949	1,225
In the second year	-	980	-	949
In the third to fifth years inclusive	-	-	-	-
		2,269	949	2,174
Less future finance charges	(30)	(95)		
Present value of lease obligations	949	2,174		
Disclosed as				
Current	949	1,225		
Non-current	-	949		
	949	2,174		

18 PENSIONS

i) Defined contribution pensions

The Galiform Plc Group operates a defined contribution scheme for its employees The Company's pension charge for the current year for the defined contribution pension scheme was £30,000 (2008 £100,000) There were £5,000 of outstanding contributions at the year end

ii) Defined benefit pensions

The Company participates in the Galiform Plc Group retirement benefit plan This is a defined benefit multi-employer arrangement, which operates through a funded pension scheme which provides benefits based on the final pensionable pay of participating employees The assets of the scheme are held separately from those of the Group, being invested with independent fund managers The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme This is the prescribed treatment in FRS 17 "Retirement Benefits"

Further information about the Galiform Plc defined-contribution retirement benefit schemes is available in the Galiform Plc statutory accounts The latest actuarial valuation of the Group defined contribution schemes was carried out at 6 April 2008 by the scheme actuary This was subsequently rolled forward to 26 December 2009 by the actuary advising the Group, and restated on a basis consistent with market conditions at that date This exercise showed a scheme deficit at 26 December 2009 of £196 3m (*2008 £122 2m*), before netting off the associated deferred tax asset The roll-forward was done according to the requirements of International Accounting Standard 19 "Employee Benefits" ("IAS 19", under which the Galiform Group reports its results), rather than FRS 17 (under which this Company reports its results) However, management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19 Further details are given in the consolidated financial statements of Galiform Plc

The Company's defined benefit pension charge for the year was £10 8m (*2008 £11 7m*) There were £10,000 of outstanding contributions at the year end

The Group adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 "Employee Benefits" The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17 It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Galiform Plc

19 ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's parent company is Galiform Holdings Ltd and the ultimate parent company and controlling entity is Galiform Plc, both incorporated in Great Britain and registered in England and Wales

The largest and smallest group in which the results of the Company are consolidated is that headed by Galiform Plc The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ

The Company is exempt under FRS 8 from the requirement to disclose transactions with other group entities within the Galiform Plc Group, on the grounds that it is a wholly owned subsidiary

20 SHARE BASED PAYMENTS

1) Details of each scheme

The Company recognised a credit of (£0 1m) (*2008* charge of *£3 4m*) in respect of share-based payments during the period This charge is included as part of Staff Costs The Company has various share-based payment schemes, which are all equity-settled The main details of all schemes which existed during the period are given below

a) Performance Share Plan

This is a discretionary free share plan where participants have a contingent right to receive free shares with performance conditions attached

The performance period is measured from the start of the financial period in which the awards are granted The performance period is three years Vesting occurs at the end of the performance period The different subdivisions and performance conditions are as follows

i) no other condition other than continued employment

ii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%

iii) 25% of the award will vest if 2010 PBT of £110 million is achieved 100% will vest if 2010 PBT of £135 million is achieved The awards will vest on a sliding scale between these two points

b) (i) Deferred Bonus Plan - pre-2008 grants

Participants defer their cash bonus into shares for a period of three years Participants have no entitlement to dividends during the deferral period There are no performance conditions attached The shares vest at the end of the three year holding period

b) (ii) Deferred Bonus Plan - 2008 grant

Under the Co-Investment Plan participants can defer some or all of their cash bonus into shares and pledge these deferred shares as "invested shares" under the plan (see below (c)) The deferred share awards in 2008 are the result of participants deferring the cash bonuses awarded to them in March 2008 The shares are held in trust and participants are entitled to dividends during the deferral period A participant can remove the shares from the Trust at any time but as they would no longer be pledged as Invested Shares under the Co-Investment Plan, then unless replaced, the participant would forego the resulting match

c) Co-Investment Plan

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan

(i) (A) 2007 award PBT targets At the end of a three year performance period, each invested share will be matched by an award of up to three matching shares if 2010 PBT of £135m is achieved, 25% of the maximum match (i e 0 75 1) will be earned for achieving 2010 PBT of £110 million and the awards will vest on a sliding scale between these two points

(i) (B) 2007 award individual non-market related performance conditions On 31/12/08 each invested share will be matched by an award of up to three matching shares if certain individual targets are achieved

(ii) (A) 2007 award TSR target A further match of up to two shares will be made for achieving upper quartile Total Shareholder Return (TSR), measured against the FTSE 250 Index (excluding investment trusts)

c) Co-Investment Plan (cont'd)
(ii)(B) 2007 award 2009 PBT target At the end of 2009, each invested share will be matched by an award of up to two matching shares if 2009 PBT target (pro-rated in relation to the 2010 target noted in (i) (A) above) is achieved

d) Foundation Plan
This plan awards nil-cost options, and also options with an exercise price equal to the market price at the date of grant

2006 Awards
These vested on the last day of the 2005/06 financial year, as the performance conditions were met There is a further deferral period of two years before the awards are made available to the participants

Vesting of awards granted in the form of nil-cost options depended on the achievement of a share price hurdle over thirty consecutive dealing days 15% of the award vests for the achievement of 95 pence and 100% of the award vests for the achievement of 125 pence The award vests on a straight line basis between these two points

Vesting of awards granted in the form of options with an exercise price equal to the market price at the date of grant vest depended on the achievement of a share price hurdle over thirty consecutive dealing days The exercise price of the options granted in 2006 was 92 pence 35% of this award vests if the share price achieves 115 pence over thirty consecutive dealing days, and 100% of the award vests if the share price achieves 160 pence over thirty consecutive dealing days The award vests on a straight line basis between these two points

2007 Awards
These awards were granted in the form of nil cost options and vested on the last day of the 2006/7 financial year to the degree that the performance conditions had been met There is a further deferral period of two years before the vested awards are made available to the participants

Vesting was dependent upon the achievement of a share price hurdle over thirty consecutive dealing days and an underlying profit target of £65m for the year being met 20% of the award vests if the share price achieves 150 pence over thirty consecutive dealing days and 100% of the award vests if the share price achieves 185 pence over thirty consecutive dealing days The award vests on a straight line basis between these two points

e) Executive Share Options
This is a discretionary share option plan These options are granted with an exercise price equal to market value
The vesting period is three years from the date of grant with an exercise period of seven years (i e a total life of ten years) In the information below, these options have been further subdivided according to their different performance conditions, in order to give more meaningful information The different subdivisions and performance conditions are as follows

i) 40% vesting if EPS growth equals RPI+40%, rising to 100% vesting for EPS growth of RPI+100%
ii) 50% vesting if there is EPS growth of 60% over the performance period, and 100% vesting if there is EPS growth of 120% over the performance period
iii) EPS growth must equal RPI + 9% If this is achieved there will be full vesting If this is not achieved there will be no vesting
iv) 20% of the options will vest if the share price over thirty consecutive dealing days is 185 pence rising on a straight line basis to 100% vesting if the share price over thirty consecutive days reaches 265 pence Underpinning this is a requirement to achieve 20% annual compound growth over the performance period
v) Full vesting will occur if the Group's cumulative profit before tax is at least £90m over the three financial years ending December 2009, 2010, and 2011 If this is not achieved there will be no vesting

f) Long Term Incentive Plan
Full vesting will occur if the Group's cumulative profit before tax is at least £90m over the three financial years ending December 2009, 2010, and 2011 If this is not achieved there will be no vesting

g) SAYE (Sharesave)
This is a save as you earn scheme for all employees whereby participants receive an option to purchase shares at a later date at a price equal to the market price at grant date The term of this scheme is five years ending on 01 12 08 Participants have a right to exercise options for a period of six months after this date

20 SHARE BASED PAYMENTS

2) Movements – The following tables show the number and weighted average exercise prices ("WAEP) of each category of options during the period, and movements in each category

a) Performance Share Plan	52 weeks to 26 December 2009	52 weeks to 26 December 2009	52 weeks to 27 December 2008	52 weeks to 27 December 2008
i) no other condition other than continued employment	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	3,500	0 00	4,000	N/A
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	(500)	0.00
Exercised in period	0	N/A	0	N/A
In issue at end of period	3,500	0 00	3,500	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		0.64		0 53
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 42		1.42	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0.00	

a) Performance Share Plan *ii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%*	52 weeks to 26 December 2009	52 weeks to 26 December 2009	52 weeks to 27 December 2008	52 weeks to 27 December 2008
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	260,197	0.00	260,197	0.00
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	(124,550)	0.00	0	N/A
In issue at end of period	135,647	0 00	260,197	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		0.61		0.00
at the period end (years)	0 42		1 42	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.00		0.00	
- to	0.00		0 00	

20 SHARE BASED PAYMENTS (continued)

a) Performance Share Plan

iii) 25% of the award will vest if 2010 PBT of £110 million is achieved 100% will vest if 2010 PBT of £135 million is achieved The awards will vest on a sliding scale between these two points

	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)
In issue at beginning of period	265,124	0 00	265,124	0.00
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	(69,952)	0 00	0	N/A
In issue at end of period	195,172	0 00	265,124	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		0 61		0 00
Weighted average contractual life remaining for share options outstanding at the period end (years)	1 00		2 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0.00	
- to	0 00		0 00	

b) Deferred Bonus Plan

i) pre-2008 grants

	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)
In issue at beginning of period	472,976	0 00	643,807	0 00
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	(285,795)	0 00	(170,831)	0 00
In issue at end of period	187,181	0 00	472,976	N/A
				0 00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		0.82
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 25		0 55	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0 00	

20 SHARE BASED PAYMENTS (continued)

b) Deferred Bonus Plan	52 weeks to 26 December 2009	52 weeks to 26 December 2009	52 weeks to 27 December 2008	52 weeks to 27 December 2008
ii) 2008 grant	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	758,311	0.00	0	0 00
Granted in period	0	N/A	758,311	0.00
Lapsed in period	0	N/A	0	N/A
Exercised in period	(212,390)	N/A	0	0.00
In issue at end of period	545,921	0 00	758,311	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	1.25		2 01	
Weighted average fair value of options granted during the period (£)	N/A		0 79	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.00		0 00	
- to	0.00		0 00	
Yr end date				
Date of match under the new DBP				

c) (i) (A) Executive Co-investment Plan· 2007 award, PBT target	52 weeks to 26 December 2009	52 weeks to 26 December 2009	52 weeks to 27 December 2008	52 weeks to 27 December 2008
	Number	WAEP (£)	Number	WAEP (£)
In issue at start of period	3,510,000	0.00	5,070,000	0 00
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	(1,560,000)	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	3,510,000	0 00	3,510,000	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	1 00		2 00	
Weighted average fair value of options granted during the period (£)	N/A		0 00	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0.00	
- to	0 00		0.00	

20. SHARE BASED PAYMENTS (continued)

c) (i) (B) Executive Co-investment Plan. 2007 award, individual non-market conditions	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)
In issue at start of period	1,560,000	0.00	0	N/A
Granted in period	0	N/A	1,560,000	0.00
Lapsed in period	0	N/A	0	N/A
Exercised in period	(1,560,000)	0 00	0	N/A
In issue at end of period	0	0 00	1,560,000	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	N/A		0	
Weighted average share price for options exercised during the period		N/A		0.00
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		2 57	
Weighted average fair value of options granted during the period (£)	N/A		0 69	
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A		0 00	
- to	N/A		0 00	

c) (ii) (A) Executive Co-investment Plan: 2007 award, TSR target	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)
In issue at start of period	2,340,000	0 00	3,380,000	0.00
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	(1,040,000)	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	2,340,000	0.00	2,340,000	0 00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)			2 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0.00	
- to	0.00		0 00	

20 SHARE BASED PAYMENTS (continued)

c) (ii) (B)Executive Co-investment Plan. 2007 award, 2009 PBT target	52 weeks to 26 December 2009	52 weeks to 26 December 2009	52 weeks to 27 December 2008	52 weeks to 27 December 2008
	Number	WAEP (£)	Number	WAEP (£)
In issue at start of period	1,040,000	0 00	0	N/A
Granted in period	0	N/A	1,040,000	0 00
Lapsed in period	(519,762)	0 00	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	520,238	0 00	1,040,000	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 25		2 57	
Weighted average fair value of options granted during the period (£)			0 69	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0.00	
- to	0 00		0 00	

d) Foundation Plan

i) 2006 award - Nil Cost Options	52 weeks to 26 December 2009	52 weeks to 26 December 2009	52 weeks to 27 December 2008	52 weeks to 27 December 2008
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	2,375,000	0.00	2,375,000	0.00
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	(2,375,000)	0.00	0	N/A
In issue at end of period	0	N/A	2,375,000	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	N/A		0	
Weighted average share price for options exercised during the period		0 15		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0.00	

20. SHARE BASED PAYMENTS (continued)

d) Foundation Plan

ii) 2006 award - Market-value Options	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)
In issue at beginning of period	3,104,484	0.92	3,104,484	0.92
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	3,104,484	0.92	3,104,484	0.92
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.92		0 92	
- to	0.92		0.92	

d) Foundation Plan

iii) 2007 award - Nil Cost Options	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)
In issue at beginning of period	2,050,000	0.00	2,050,000	0.00
Granted in period	0	N/A	0	N/A
Lapsed in period	(1,122,619)	0 00	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	927,381	0.00	2,050,000	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0.00	
- to	0 00		0 00	

20. SHARE BASED PAYMENTS (continued)

e) Executive Share Options

i) 40% vesting if EPS growth = RPI+40% rising to 100% vesting if EPS growth = RPI+100%	52 weeks to 26 December 2009	52 weeks to 26 December 2009	52 weeks to 27 December 2008	52 weeks to 27 December 2008
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	678,992	1.07	1,260,496	1 07
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	(581,504)	1.07
Exercised in period	0 00	N/A	0 00	N/A
In issue at end of period	678,992	1.07	678,992	1.07
Exercisable at end of period	678,992	1 07	678,992	1.07
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1.07		1 07	
- to	1 07		1.07	

e) Executive Share Options

ii) 50% vesting if EPS growth is 60% and 100% vesting if EPS is 120%	52 weeks to 26 December 2009	52 weeks to 26 December 2009	52 weeks to 27 December 2008	52 weeks to 27 December 2008
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	1,065,651	1.27	1,065,651	1.27
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	1,065,651	1.27	1,065,651	1.27
Exercisable at end of period	1,065,651	1 27	1,065,651	1.27
Number of options in the closing balance that were granted before 7 November 2002	1,065,651	1 27	1,065,651	1 27
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1.03		1 03	
- to	1.32		1.32	

20. SHARE BASED PAYMENTS (continued)

e) Executive Share Options

iii) Full vesting if EPS increases by RPI + 9%	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)
In issue at beginning of period	159,205	0 94	166,930	1.03
Granted in period	0	N/A	0	N/A
Lapsed in period	(5,979)	1 03	(7,725)	1.03
Exercised in period	0	N/A	0	N/A
In issue at end of period	153,226	0.94	159,205	0 94
Exercisable at end of period	153,226	0 94	159,205	0 94
Number of options in the closing balance that were granted before 7 November 2002	153,226		154,205	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		0 00	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.63		0 63	
- to	1.39		1 39	

e) Executive Share Options

iv) 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p. Underpinning this is a requirement to achieve 20% annual compound growth over the performance period	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)
In issue at beginning of period	2,763,406	1.59	2,763,406	1 59
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	2,763,406	1 59	2,763,406	1 59
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.42		1 42	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1.59		1 59	
- to	1 59		1.59	

20 SHARE BASED PAYMENTS (continued)

e) Executive Share Options

v) cumulative PBT of £90m over three financial years ending 2009, 2010 and 2011	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)
In issue at beginning of period	0	N/A
Granted in period	9,557,430	0 38
Lapsed in period	0	N/A
Exercised in period	0	N/A
In issue at end of period	9,557,430	0.38
Exercisable at end of period	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0	
Weighted average share price for options exercised during the period		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.33	
Weighted average fair value of options granted during the period (£)	0.08	
Range of exercise prices for options outstanding at the period end (£)		
- from	0.25	
- to	0.50	

f) Long Term Incentive Plan - Options

v) cumulative PBT of £90m over three financial years ending 2009, 2010 and 2011	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)
In issue at beginning of period	0	N/A
Granted in period	1,448,622	0.37
Lapsed in period	0	0.00
Exercised in period	0	0 00
In issue at end of period	1,448,622	0 37
Exercisable at end of period	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0	
Weighted average share price for options exercised during the period		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.33	
Weighted average fair value of options granted during the period (£)	N/A	
Range of exercise prices for options outstanding at the period end (£)		
- from	0.25	
- to	0.50	

20 SHARE BASED PAYMENTS (continued)

g) SAYE (Sharesave)	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)
In issue at beginning of period	12,388	1 84	12,388	1 84
Granted in period	0	N/A		N/A
Lapsed in period	(12,388)	1 84	0	N/A
Exercised in period	0	N/A		N/A
In issue at end of period	0	N/A	12,388	1 84
Exercisable at end of period	0	N/A	12,388	1.840
Number of options in the closing balance that were granted before 7 November 2002	N/A			N/A
Weighted average share price for options exercised during the period		N/A		0 00
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		N/A	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A		1.84	
- to	N/A		1 84	

3) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using a binomial option valuation model Sharesave schemes are valued using a Black Scholes model as they are not considered to be of such complexity that they require a binomial model

The key assumptions used in the models were

	52 weeks to 26 December 2009	52 weeks to 27 December 2008
Dividend yield (%)	0 00	0 71
Expected share price volatility (%)	50 to 52	46
Historical volatility (%)	50 to 52	46
Risk-free interest rate (%)	2 79 to 3 18	4 47
Expected life of options (years)	6 4 to 6 5	2 57